

AP MACROECONOMICS · THE UNIVERSAL STUDY GUIDE

Targeting a 3, 4, or 5 — every concept tagged for your tier

Tier badges: [3] foundational · [4] adds for 4+ · [5] adds for 5

Targeting a 4 → study [3] AND [4] items. Targeting a 5 → study all three tiers.

PAGE 1 | MATH OF 3/4/5 · 6 UNITS · THE 5 MASTER GRAPHS

About this exam. AP Macroeconomics is a graphing language. The exam tests whether you can DRAW the right graph, SHIFT the right curve in the right direction, and EXPLAIN what happens to price level, output, interest rate, unemployment, and (for open economy) exchange rate. **70% of FRQ points are about correctly-shifted graphs with proper labels.**

THE MATH OF YOUR TARGET

Target	MCQ (60q, 66%)	FRQ (3q, 33%)	Approx %	Tier
3 (PASS)	~30 / 60 (~50%)	~10/24 raw	~46-50%	[3] only
4	~40 / 60 (~67%)	~16/24 raw	~62-67%	[3] + [4]
5	~48 / 60 (~80%)	~20-22/24 raw	~75-80%	All

Time: 70 min for 60 MCQ (~1:10 each), 60 min for 3 FRQ — 1 long FRQ (~25 min, 10 pts) + 2 short FRQs (~12 min each, 5-6 pts). The long FRQ is usually about AD/AS + Fed/Treasury policy.

THE 6 UNITS — by exam weight

#	Unit	Weight	Focus
1	Basic Economic Concepts	5–10%	PPC, opportunity cost, comparative advantage, supply/demand basics
2	Economic Indicators & Business Cycle	12–17%	GDP, unemployment, CPI/inflation, real vs nominal
3	National Income & Price Determination	17–27%	AD-AS model , multipliers, fiscal policy
4	Financial Sector	17–27%	Money market , loanable funds , money creation, Fed tools
5	Long-Run Consequences of Stabilization Policies	20–30%	Phillips curve (SR & LR), crowding out, debt, growth
6	Open Economy: International Trade & Finance	10–13%	Balance of payments, forex market , exchange rates

Units 3, 4, 5 = ~70% of exam. Master the AD-AS model, the financial sector graphs, and the Phillips curve — those will dominate both MCQ and FRQ.

THE 5 MASTER GRAPHS — your inventory [3]/[4]/[5]

Graph	Axes + what shifts
1. AD-AS [3]	Y = Price Level, X = Real GDP. Curves: AD, SRAS, LRAS (vertical at full-employment Y_f)
2. Money Market [3]	Y = Nominal Interest Rate, X = Quantity of Money. MS vertical, MD downward.
3. Loanable Funds [3]/[4]	Y = Real Interest Rate, X = Quantity of Loanable Funds. <i>SLF up</i> , <i>DLF down</i> .
4. Phillips Curve (SR + LR) [4]	Y = Inflation Rate, X = Unemployment Rate. SRPC down-sloping; LRPC vertical at NRU.
5. FX Market (one currency) [4]/[5]	Y = Price of currency in foreign currency, X = Quantity of currency. S vertical or up-sloping, D down-sloping.

KEY INSIGHT [5] FRQ-points discipline. Every macro graph **MUST** be labeled: title, both axes, all curves, equilibrium point (P, Y or i, M etc.), and a CLEAR ARROW showing direction of shift. Unlabeled graphs lose 1-2 points each — and there are usually 4-6 graph parts on FRQs.

PAGE 2 | UNIT 1: BASIC CONCEPTS · PPC · COMPARATIVE ADVANTAGE**Production Possibilities Curve (PPC) [3]/[4]**

- **On the curve [3]** = efficient. **Inside [3]** = inefficient (unused resources). **Outside [3]** = unattainable.
- **Bowed-out PPC [3]** = increasing opportunity cost (specialized resources).
- **Linear PPC [3]/[4]** = constant opportunity cost (resources equally useful for both goods).
- **Outward shift of PPC [3]** = economic GROWTH (more resources, better tech, more capital, more labor).

Opportunity Cost & Comparative Advantage [3]/[4]

OPPORTUNITY COST = what you GIVE UP to gain something else.

In a 2-good world, e.g. Country A makes 100 cars OR 200 phones:

OC of 1 CAR = $200/100 = 2$ PHONES

OC of 1 PHONE = $100/200 = 1/2$ CAR

ABSOLUTE advantage = produces MORE with same resources.

COMPARATIVE advantage = LOWER opportunity cost.

RULE FOR TRADE: Each country specializes where it has COMPARATIVE advantage (lowest OC), then trades.
Trade ratio must be BETWEEN both countries' OC ratios.

WATCH OUT [4] Common mix-up. Comparative advantage is about RELATIVE cost, NOT absolute productivity. A country can have absolute advantage in BOTH goods but only comparative advantage in ONE. Trade is still beneficial — read the OC ratios.

Supply & Demand — micro foundations carryover [3]

- **Demand shifters [3]** (TRIBE): Tastes, Related goods (substitutes/complements), Income, Buyers (#), Expectations.
- **Supply shifters [3]** (ROTTEN): Resource costs, Other goods produced, Tech, Taxes/subsidies, Expectations, Number of sellers.
- **Equilibrium [3]** = where $S = D$. Surplus above (price falls), shortage below (price rises).

Circular Flow [3]/[4]

HOUSEHOLDS: supply LABOR/RESOURCES → firms → earn INCOME
demand GOODS/SERVICES → firms → pay PRICES

FIRMS: demand LABOR/RESOURCES → households → pay WAGES/RENT
supply GOODS/SERVICES → households → receive REVENUE

GOVERNMENT: taxes BOTH; spends ON BOTH; transfer payments

REST OF WORLD: imports/exports flow

FINANCIAL MARKETS: household saving → firm investment

PAGE 3 | UNIT 2: GDP · UNEMPLOYMENT · INFLATION · BUSINESS CYCLE**Gross Domestic Product (GDP) [3]/[4]**

$GDP = C + I + G + NX$ ("the spending approach")
 C = Consumer spending (~70% of US GDP)
 I = INVESTMENT (business spending on capital goods, NOT financial inv.)
 G = Government spending on goods/services (NOT transfer payments!)
 NX = Net Exports = $X - M$ (exports minus imports)

NOMINAL GDP = current prices $\times$ current Q (inflated by price changes)
 REAL GDP = constant base-year prices $\times$ current Q (true production)

$GDP\ DEFLATOR = (Nominal\ GDP / Real\ GDP) \times 100$

EXCLUDED FROM GDP:
 intermediate goods, used goods, financial transactions, illegal activity,
 transfer payments (Social Security), household production, underground economy

Unemployment [3]/[4]

$Unemployment\ Rate = Unemployed / Labor\ Force \times 100$
 $Labor\ Force\ Participation\ Rate = Labor\ Force / Working-age\ Population \times 100$

TYPES OF UNEMPLOYMENT:
 Frictional [3] – between jobs (always exists, healthy)
 Structural [3] – skills mismatch (technology displaces, geographic mismatch)
 Cyclical [3] – due to recession (the kind we want to fix)

NATURAL RATE OF UNEMPLOYMENT (NRU) = Frictional + Structural
 = unemployment when economy is at FULL EMPLOYMENT (~4-5% in US)
 Cyclical unemployment = 0 at NRU.

WATCH OUT [3] Discouraged workers: stopped looking $\rightarrow$ NOT counted as unemployed (left labor force). This UNDERSTATES unemployment.

Inflation & CPI [3]/[4]

$CPI = (Cost\ of\ basket\ THIS\ year / Cost\ of\ basket\ BASE\ year) \times 100$
 $Inflation\ Rate = (CPI_2 - CPI_1) / CPI_1 \times 100\%$

REAL VALUES: $Real = Nominal / (Price\ Index / 100)$
 $Real\ wage = Nominal\ wage / (CPI/100)$
 $Real\ interest\ rate \approx Nominal\ interest\ rate - Expected\ inflation$

CAUSES:
 Demand-pull – AD shifts right ("too much money chasing too few goods")
 Cost-push – SRAS shifts left (oil shock, wage hike) $\rightarrow$ STAGFLATION

KEY INSIGHT [4] Who's hurt by unexpected inflation? Lenders (paid back in cheaper dollars), savers in fixed accounts, fixed-income recipients (retirees), workers with sticky wages. Who's helped? Borrowers at fixed nominal rates. The Fisher Effect ($real \approx nominal - \pi_e$) is the math.

Business Cycle [3]

- **Peak [3]** $\rightarrow$ **Recession** (GDP falls, unemployment rises) $\rightarrow$ **Trough** $\rightarrow$ **Expansion** (GDP grows) $\rightarrow$ **Peak** again.
- **Recessionary gap [3]** = real GDP < full-employment GDP ($Y < Y_f$). Cyclical unemployment > 0.
- **Inflationary gap [3]** = real GDP > Y_f . Tight labor market, wages rising.

PAGE 4 | UNIT 3: AGGREGATE DEMAND · AGGREGATE SUPPLY · FISCAL POLICY**AD — why downward-sloping [3]/[4]**

- **Wealth effect [4]:** as P rises, real value of money holdings falls → less consumer spending.
- **Interest rate effect [4]:** as P rises, demand for money rises → interest rate up → I and C(durables) fall.
- **Foreign trade effect [4]:** as P rises, exports get pricier abroad → X falls; imports cheaper → M rises → NX falls.

AD Shifters [3]/[4]

$AD = C + I + G + NX$ → anything increasing any component shifts AD →

C – consumer confidence, wealth, household debt levels, taxes

I – interest rates, business expectations, technology, taxes on investment

G – government spending decisions

NX – foreign income, exchange rate (currency strong = NX down), trade policy

Plus: EXPECTATIONS of future inflation/recession shift AD

SRAS vs LRAS [3]/[4]/[5]

Curve	Description + shifters
SRAS [3]	Upward-sloping — short-run wages/prices STICKY. Shifts: input prices (oil, wages), productivity, business taxes/subsidies, supply shocks.
LRAS [3]/[4]	VERTICAL at Y_f (full-employment output). Shifts ONLY with: changes in resources, technology, productivity (i.e., economic growth).

WATCH OUT [4] Cost-push shock = SRAS LEFT (price up, output down = stagflation). Productivity gain or oil price drop = SRAS RIGHT (price down, output up). LRAS does NOT shift on either — only on real growth in productive capacity.

Multipliers [3]/[4]

MPC = marginal propensity to consume MPS = marginal propensity to save
 $MPC + MPS = 1$

SPENDING MULTIPLIER = $1 / MPS = 1 / (1 - MPC)$
 Change in real GDP = spending change $\times$ (1/MPS)

TAX MULTIPLIER = $-MPC / MPS$
 (smaller in absolute value than spending multiplier – and NEGATIVE)

EXAMPLE: $MPC = 0.8$, $MPS = 0.2$
 Spending multiplier = $1/0.2 = 5$
 \$100 increase in G → \$500 increase in real GDP
 Tax multiplier = $-0.8/0.2 = -4$
 \$100 tax CUT → \$400 increase in real GDP

Fiscal Policy [3]/[4]

Gap	Use	Tools
Recessionary [3]	EXPANSIONARY fiscal	↑G, ↓Taxes, ↑Transfers → AD shifts RIGHT → P up, Y up, U down
Inflationary [3]	CONTRACTIONARY fiscal	↓G, ↑Taxes, ↓Transfers → AD shifts LEFT → P down, Y down, U up

KEY INSIGHT [4] Automatic stabilizers = built-in: progressive income taxes (collect more in booms), unemployment insurance (pay out more in recessions). Smooth cycles WITHOUT new legislation.

PAGE 5 | UNIT 4: MONEY · BANKING · MONETARY POLICY

The 3 Functions of Money [3]

- **Medium of exchange** [3] — used to buy/sell goods (eliminates barter).
- **Store of value** [3] — holds purchasing power over time (inflation hurts this).
- **Unit of account** [3] — common measure of value ("the price is \$5").

Money Supply Measures [3]/[4]

- **M1** [3] = currency + checkable deposits + traveler's checks (most liquid).
- **M2** [3] = M1 + savings deposits + small time deposits + money market funds.

Money Market Graph [3]/[4]

Y-axis: NOMINAL interest rate (i)
X-axis: Quantity of money

Money Supply (MS): VERTICAL (set by Fed)

Money Demand (MD): downward-sloping (higher $i \rightarrow$ less money held)

Equilibrium: $MS = MD \rightarrow i^*$

MD SHIFTERS: price level ($\uparrow P \rightarrow$ MD right), real GDP ($\uparrow Y \rightarrow$ MD right),
technology (e.g., debit cards $\rightarrow$ MD left)

Loanable Funds Market [4]/[5]

Y-axis: REAL interest rate (r)
X-axis: Quantity of loanable funds

S_{LF} (savings): upward-sloping

D_{LF} (borrowing for investment): downward-sloping

Government deficit $\rightarrow$ BORROWING $\rightarrow D_{LF}$ shifts RIGHT $\rightarrow r \uparrow$
 $\rightarrow$ CROWDING OUT of private investment

CAPITAL INFLOW from abroad $\rightarrow S_{LF}$ RIGHT $\rightarrow r \downarrow$

KEY INSIGHT [4] **Money Market vs Loanable Funds** — **don't confuse them!** Money Market = NOMINAL rate, set by Fed in short run. Loanable Funds = REAL rate, market for borrowing/saving (long run). FRQs ask for ONE specifically — read carefully.

Fractional Reserve Banking & Money Multiplier [3]/[4]

REQUIRED RESERVE RATIO (RRR) = portion of deposits banks must hold
EXCESS RESERVES = total reserves - required reserves

MONEY (DEPOSIT) MULTIPLIER = $1 / RRR$

EXAMPLE: RRR = 10%, \$1,000 new deposit at Bank A:
Required reserve = \$100 Excess reserves = \$900 (lendable)
Maximum money creation = $\$1,000 \times (1/0.10) = \$10,000$ in total deposits
NEW money created = $\$10,000 - \$1,000 = \$9,000$

Fed's Tools [3]/[4]

Tool	How it works
Open Market Operations [3]	BUY bonds $\rightarrow MS \uparrow, i \downarrow$ (expansionary). SELL bonds $\rightarrow MS \downarrow, i \uparrow$ (contractionary). Most-used tool.
Reserve Requirement [3]/[4]	$\downarrow RRR \rightarrow$ banks lend more $\rightarrow MS \uparrow$. Rarely changed.
Discount Rate [3]/[4]	Rate Fed charges banks. $\downarrow \rightarrow$ encourages bank borrowing $\rightarrow MS \uparrow$.
Interest on Reserves (IOR) [4]/[5]	Modern primary tool. $\uparrow IOR \rightarrow$ banks hold more reserves $\rightarrow MS \downarrow$; $\downarrow IOR \rightarrow MS \uparrow$.

Monetary policy chain [3]/[4]: Fed action $\rightarrow MS \rightarrow$ interest rate $\rightarrow I$ and $C(\text{durables}) \rightarrow AD \rightarrow P, Y, U$.

PAGE 6 | UNIT 5: PHILLIPS CURVE · CROWDING OUT · GROWTH

Phillips Curve — SR vs LR [4]/[5]

Y-axis: Inflation rate (π)
 X-axis: Unemployment rate (U)

SHORT-RUN PHILLIPS CURVE (SRPC): downward-sloping
 Tradeoff: $\downarrow U \rightarrow \uparrow \pi$ (boom causes inflation)
 $\uparrow U \rightarrow \downarrow \pi$ (recession lowers inflation)

LONG-RUN PHILLIPS CURVE (LRPC): VERTICAL at the Natural Rate of Unemployment (NRU)
 No long-run tradeoff between inflation and unemployment

AD-AS to PHILLIPS mapping:
 AD shift right $\leftrightarrow$ MOVE along SRPC (left along curve, $\downarrow U$, $\uparrow \pi$)
 SRAS shift right $\leftrightarrow$ entire SRPC shifts LEFT (lower π at any U)

Phillips & Expectations [5]

- [5] If expected inflation rises, SRPC shifts UPWARD (worse tradeoff at every U).
- [5] Stagflation = SRAS LEFT shock $\rightarrow$ moves you to a WORSE point: higher π AND higher U simultaneously.
- [5] LRPC shifts when NRU changes (better job-matching tech $\rightarrow$ LRPC left; structural changes $\rightarrow$ LRPC right).

Crowding Out [4]/[5]

When the government deficit-spends, it BORROWS in the loanable funds market $\rightarrow$ D_{LF} shifts RIGHT $\rightarrow$ real interest rate UP $\rightarrow$ private investment FALLS. This is "crowding out." Net effect on AD is less than full multiplier suggests.

KEY INSIGHT [5] Implication. Expansionary fiscal in a closed economy raises r and crowds out I . Long-run growth needs investment, so persistent crowding out can SLOW future LRAS rightward shifts. This is the heart of debt-vs-growth debates.

Long-Run Growth & LRAS [3]/[4]

- LRAS shifts right = economic growth. Caused by: more LABOR, more CAPITAL, better TECHNOLOGY, increased PRODUCTIVITY, education/HUMAN CAPITAL.
- [4] Investment in physical AND human capital is the engine. Saving $\rightarrow$ loanable funds $\rightarrow$ I $\rightarrow$ capital stock grows.

Self-Correction in the Long Run [4]/[5]

RECESSIONARY GAP ($Y < Y_f$, high U):
 High unemployment $\rightarrow$ wages fall $\rightarrow$ SRAS shifts RIGHT
 $\rightarrow$ Y returns to Y_f at LOWER price level.

INFLATIONARY GAP ($Y > Y_f$, tight labor):
 Tight labor $\rightarrow$ wages rise $\rightarrow$ SRAS shifts LEFT
 $\rightarrow$ Y returns to Y_f at HIGHER price level.

CLASSICAL view: let it self-correct (no policy needed).
 KEYNESIAN view: self-correction is too slow, use fiscal/monetary stimulus.

National Debt [3]/[4]

- Debt = accumulated deficits. Concern: persistent deficits crowd out investment + raise interest costs.
- [4] Debt-to-GDP matters more than absolute debt — measures sustainability.

PAGE 7 | UNIT 6: OPEN ECONOMY — BoP · FX MARKET

Balance of Payments [3]/[4]

CURRENT ACCOUNT ("goods, services, income, transfers"):

- + Exports of goods/services
- Imports of goods/services
- + Net investment income (received from abroad)
- + Net transfers

CAPITAL/FINANCIAL ACCOUNT ("asset purchases"):

- + Foreign investment in OUR country (capital INFLOW)
- Our investment in foreign countries (capital OUTFLOW)

IDENTITY: Current Account + Capital Account ≈ 0

Current account DEFICIT $\Leftrightarrow$ Capital account SURPLUS (and vice versa)

Foreign Exchange (FX) Market — graph for ONE currency [4]/[5]

Y-axis: PRICE of currency (e.g., dollars per euro for the EURO market)

X-axis: Quantity of currency (euros)

S of euros: vertical (or up-sloping)

D for euros: down-sloping

TERMINOLOGY:

Currency APPRECIATES = becomes more expensive (graph: price $\uparrow$)

Currency DEPRECIATES = becomes cheaper (graph: price $\downarrow$)

FX Shifters — what makes a currency stronger? [4]/[5]

What changes	Effect on currency
Higher domestic interest rate	Foreigners want to invest $\rightarrow$ demand for \$ $\uparrow$ $\rightarrow$ \$ APPRECIATES.
Higher domestic price level (inflation)	Imports relatively cheap $\rightarrow$ buy more abroad $\rightarrow$ S of \$ $\uparrow$ $\rightarrow$ \$ DEPRECIATES.
Higher foreign income	Foreigners buy more US exports $\rightarrow$ demand for \$ $\uparrow$ $\rightarrow$ \$ APPRECIATES.
Speculation \$ will appreciate	Self-fulfilling: D for \$ $\uparrow$ $\rightarrow$ \$ APPRECIATES.
Tastes shift toward foreign goods	Americans buy foreign $\rightarrow$ S of \$ $\uparrow$ $\rightarrow$ \$ DEPRECIATES.

KEY INSIGHT [5] Connecting Fed policy to FX. Fed RAISES interest rates $\rightarrow$ foreign capital flows IN $\rightarrow$ demand for \$ $\uparrow$ $\rightarrow$ \$ APPRECIATES $\rightarrow$ exports drop, imports rise $\rightarrow$ NX FALLS $\rightarrow$ AD shifts LEFT (offsets some monetary tightening).

Trade Effects [4]/[5]

- **Strong dollar [4]/[5]** = US imports cheap, US exports expensive. NX falls.
- **Weak dollar [4]/[5]** = US exports cheap to foreigners, imports expensive. NX rises.
- **[5] Tariffs/quotas:** protect domestic industry but raise prices, hurt consumers + retaliating partners.

PAGE 8 | 5 MASTER GRAPHS · SHIFT DIRECTIONS · WHAT CHANGES

This page is your FRQ cheat sheet for graph-shifts. Memorize the direction of each shift and the resulting changes in P , Y , i , U , π .

GRAPH 1 — AD/AS [3]

Event	Curve shifts	Effect on P , Y , U
Government cuts taxes	$AD \rightarrow$	$P \uparrow$, $Y \uparrow$, $U \downarrow$
Consumer confidence falls	$AD \leftarrow$	$P \downarrow$, $Y \downarrow$, $U \uparrow$
Oil price spike	$SRAS \leftarrow$	$P \uparrow$, $Y \downarrow$, $U \uparrow$ (stagflation)
Productivity surge	$SRAS \rightarrow$ and $LRAS \rightarrow$	$P \downarrow$, $Y \uparrow$, $U \downarrow$ (growth)
New technology	$LRAS \rightarrow$ (long-run growth)	Y_f increases

GRAPH 2 — Money Market [3]/[4]

Event	Curve shifts	Effect on i , MS , MD
Fed buys bonds	$MS \rightarrow$	$i \downarrow$
Fed sells bonds	$MS \leftarrow$	$i \uparrow$
Real GDP rises	$MD \rightarrow$	$i \uparrow$
Price level rises	$MD \rightarrow$	$i \uparrow$

GRAPH 3 — Loanable Funds [4]/[5]

Event	Curve shifts	Effect on r
Government deficit spending	$D_{LF} \rightarrow$ (more borrowing)	$r \uparrow$ (crowding out)
Households save more	$S_{LF} \rightarrow$	$r \downarrow$
Foreign capital inflow	$S_{LF} \rightarrow$	$r \downarrow$
Tax cut on investment	$D_{LF} \rightarrow$	$r \uparrow$

GRAPH 4 — Phillips Curve [4]/[5]

Event	Curve shifts / movement	Effect on π , U
AD shifts right (expansionary)	move LEFT along SRPC	$\pi \uparrow$, $U \downarrow$
AD shifts left (contractionary)	move RIGHT along SRPC	$\pi \downarrow$, $U \uparrow$
SRAS shifts left (oil shock)	SRPC shifts UP	$\pi \uparrow$, $U \uparrow$ (stagflation)
Expected inflation rises	SRPC shifts UP	Higher π at every U
NRU changes	LRPC shifts L or R	Different long-run U_f

GRAPH 5 — FX Market ("the dollar") [4]/[5]

Event	Curve shifts	Effect on $\$$
US interest rates rise	D for $\$ \rightarrow$	$\$$ APPRECIATES
US inflation rises	S of $\$ \rightarrow$	$\$$ DEPRECIATES
Foreign income rises	D for $\$ \rightarrow$ (more US exports)	$\$$ APPRECIATES
US tastes shift toward imports	S of $\$ \rightarrow$	$\$$ DEPRECIATES

KEY INSIGHT [5] The full chain on a long FRQ. "Fed raises rates $\rightarrow$ MS shifts LEFT in Money Market $\rightarrow i$ rises $\rightarrow I$ and $C(\text{durables})$ fall $\rightarrow AD$ LEFT $\rightarrow P$ falls, Y falls, U rises $\rightarrow SRPC$: move RIGHT $\rightarrow \pi \downarrow$, $U \uparrow \rightarrow$ ALSO: $\$$ APPRECIATES in FX $\rightarrow NX$ falls $\rightarrow$ reinforces AD LEFT." Walk this chain on every monetary FRQ.

PAGE 9 | FRQ STRATEGY · GRAPH RUBRIC · COMMON TRAPS**THE GRAPH RUBRIC — what graders look for [3]/[4]**

Required on EVERY graph:

1. TITLE (e.g., "AD/AS", "Money Market")
2. AXES LABELED with VARIABLE (e.g., "Price Level", "Real GDP", "Nominal Interest Rate", "Quantity of Money")
3. ALL CURVES LABELED (AD, SRAS, LRAS, MS, MD, S_{LF}, D_{LF}, etc.)
4. EQUILIBRIUM POINT marked (P*, Y* or i*, M*)
5. SHIFT shown clearly with new curve labeled (e.g., AD₂)
6. NEW EQUILIBRIUM marked
7. ARROWS for shift direction OR for the change in price/quantity

"Show on YOUR graph..." — must SHOW, not just describe [3]/[4]

Many FRQ subparts say "show on your graph from part (a)..." This means draw it ON the graph. A verbal answer alone earns 0. Every shift gets a labeled arrow + new curve.

COMMON FRQ TRAPS — point losses [3]/[4]/[5]

- [3] Saying "interest rate goes down" without specifying **NOMINAL vs REAL**. Money Market = nominal. Loanable Funds = real.
- [3] Forgetting transfer payments are **NOT** in G. "G" = government purchases of GOODS/SERVICES. Social Security ≠ G.
- [4] Mixing up cause-and-effect direction in **monetary policy**. Fed BUYING bonds = expansionary (puts money into economy). Fed SELLING = contractionary.
- [4] Forgetting that LRAS does **NOT** shift on AD or SRAS shifts — only on real growth (resources, tech, productivity).
- [5] Misnaming "crowding out". Crowding out happens via the **LOANABLE FUNDS** market when government deficit-spending raises real interest rate.
- [5] Forgetting that a stronger currency **HURTS exports**. \$ appreciation → US goods more expensive abroad → NX falls → AD shifts LEFT.
- [3] No **CONTEXT** in conclusions. "Interest rate increases" alone earns no credit if the question gave a specific country/scenario — name it.

FRQ Q1 (Long FRQ) — the formula [4]/[5]

Q1 is typically: "Country X is in a [recession/inflationary gap]. (a) Draw AD/AS showing the gap. (b) Suggest a fiscal/monetary policy. (c) Show effect on graph. (d) Effect on real GDP, P, U, i. (e) Effect on second graph (loanable funds OR FX). (f) Long-run effect." Walk it part by part. Show every shift with arrows + new equilibrium.

FRQ Q2-Q3 (Short FRQs) [3]/[4]

- **Q2/Q3 [3]** are 4-6 points each, no graph required (sometimes a small one). Conceptual + calculation. Read the bold instruction word: **CALCULATE**, **EXPLAIN**, **IDENTIFY**.
- **Common Q2/Q3 topics:** spending/tax multiplier, money multiplier, balance of payments, real vs nominal calculations, comparative advantage.

PAGE 10 | SCORE LADDER · TIER CHECKLISTS · THE ONE THING

THE SCORE LADDER

For a 3 (Pass)	For a 4	For a 5
MCQ: 30-35 / 60	MCQ: 40-44 / 60	MCQ: 48-52 / 60
AD/AS + Money Market — graphs labeled, shifts in right direction.	Add: Loanable Funds, Phillips Curve, FX market.	All 5 master graphs + chain reasoning across them.
GDP basics, real vs nominal.	Multipliers (spending and tax), CPI calculations.	Crowding out, expectations, self-correction.
Fiscal vs monetary basics: which to use when.	Open-economy linkage: Fed → FX → NX.	Stagflation, supply-shock policy dilemma, debt-growth tradeoff.
1-2 graphs on FRQ, basic shifts.	All FRQ graphs labeled & shifted; verbal explanation matches.	Long-run, expectations, complete chain reasoning.

TIER-SPECIFIC TEST-DAY CHECKLISTS

For a 3 — focus only on these:

- ✓ MCQ: 30+ correct.
- ✓ AD/AS graph: 3 curves labeled, shift in correct direction, equilibrium marked.
- ✓ Money Market graph: MS vertical, MD downward, identify nominal interest rate.
- ✓ Recessionary gap → expansionary policy. Inflationary → contractionary.
- ✓ Use $C + I + G + NX$ framework.

For a 4 — add these on top:

- ✓ MCQ: 40+ correct.
- ✓ Calculate spending/tax multipliers correctly.
- ✓ Explain Phillips curve tradeoff in short run; vertical in long run at NRU.
- ✓ FX market: connect interest rate to currency strength to NX.
- ✓ Distinguish nominal (Money Market) vs real (Loanable Funds) interest rate.

For a 5 — add these on top:

- ✓ MCQ: 48+ correct.
- ✓ Crowding out via loanable funds — explain mechanism.
- ✓ Walk the full FRQ chain: policy → graph → variable → second graph.
- ✓ Stagflation: SRAS left → policy dilemma (can't fix both π and U with AD policy).
- ✓ Long-run self-correction (wages adjust, SRAS shifts back).
- ✓ Expected inflation shifts SRPC vertically.

THE ONE THING THAT MATTERS MOST [3][4][5]: LABEL EVERY GRAPH COMPLETELY AND SHIFT IN THE RIGHT DIRECTION. AP Macro is decided on graph mechanics. A perfectly-shifted, fully-labeled AD/AS graph with arrows and new equilibrium = 4-5 points instantly. The same shift verbally described = 0 points. **Title, axes, all curves, equilibrium, shifted curve labeled (AD_2), new equilibrium, arrows for direction.** Drill this on every practice FRQ until it's automatic.

If you do nothing else: master the 5 master graphs, label everything, and walk the policy chain step-by-step on FRQs.

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